

22STCV17408 22STCV17408

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Case Number: 22STCV17408 Hearing Date: September 14, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Smith v. ESL Technologies, Inc., et al.

Case Number: 22STCV17408

Hearing: September 14, 2026

TENTATIVE

RULING

The Court hereby GRANTS final approval

and awards the following: (1) \$138,866.67

(1/3) for attorney fees to Class Counsel, Moon Law Group, PC; (2) \$15,330.27 for attorney costs to Class

Counsel; (3) an enhancement payment of \$7,500.00 to the class

representative, Vivian Grace Smith; (4) \$31,245.00 (75% of \$41,660 PAGA penalty) to the LWDA; and (5) \$12,000 for

settlement administration costs to Phoenix Class Action Administration

Solutions.

BACKGROUND

This

is a wage and hour class action. Defendant

ESL Technologies, Inc. is in the business of maintaining and repairing computers and computer peripheral devices.

On

May 26, 2022, Vivian Grace Smith ("Plaintiff" or "Smith") commenced this Action by filing a Complaint alleging causes of action against Defendants ESL Technologies, Inc. ("ESL"), Stay Safe Staffing, Inc. ("Stay Safe"), Valutech Outsourcing, Inc. ("Valutech"), Teleplan Holding USA, Inc. ("Teleplan Holding"), Teleplan Service Logistics, Inc. ("Teleplan Logistics"), and Does 1 through 10 (collectively, "Defendants") for: failure to pay minimum wages, failure to pay overtime compensation, failure to provide meal periods, failure to authorize and provide rest breaks, failure to indemnify for necessary business expenses, failure to timely pay final wages at termination, failure to provide accurate itemized wage statements, and Unfair Business Practices.

On

August 15, 2022, Plaintiff filed the operative First Amended Complaint ("FAC") alleging an additional cause of action for violation of the Private Attorneys General Act ("PAGA").

On

December 8, 2022, the Court granted Plaintiff's Application to Dismiss All Class and Individual Claims against Defendants Valutech, Teleplan Holding, and Teleplan Service Logistics and dismissed these Defendants from the FAC without prejudice.

Counsel

represents that the parties conducted informal and formal discovery and investigation, including the exchange of data and discoverable information in preparation for the mediation session.

The data was drawn from the entire Class and included: 1) time clock, pay and other data pertaining to Plaintiff and the Class during the relevant Settlement Period, including but not limited to the numbers of former and current members of the Class, average workweeks and pay periods, and average rate of hourly pay and 2) data pertaining to Plaintiff and the Class during the relevant Class Period, including but not limited to documents reflecting wage and hour policies and practices during the Class Period and information regarding the total number of current and former employees in the Class. After reviewing this information, Class Counsel was able to evaluate the probability of class certification, success on the merits, and the reasonably obtainable maximum monetary exposure for all

claims, prepare a damage analysis, and investigate applicable law regarding claims and defenses asserted in litigation.

On

December 19, 2024, the Parties participated in an all-day mediation with Marc Feder, Esq., which ultimately led to a proposed settlement. On December 15, 2025, counsel filed a long-form settlement agreement executed by Plaintiff and Defendant ESL, attached as Exhibit 1 to the Declaration of Scott Leviant ("Leviant Decl.") ISO Preliminary Approval.

On

February 13, 2026, the Court granted preliminary approval contingent on counsel making certain revisions. In response, on March 13, 2026, counsel filed a fully executed Amended Settlement Agreement attached to the Supplemental Declaration of Scott Leviant ("Leviant Supp. Decl.") ISO Preliminary Approval as Exhibit 3.

On

March 20, 2026 the Court entered a Preliminary Approval Order without conditions. Notice was given to the Class Members as ordered. (See Declaration of Lluvia Islas ("Islas Decl.").)

Now before the Court is the motion for final approval of the settlement agreement.

CLASS

DEFINITION AND ESSENTIAL MONETARY TERMS OF SETTLEMENT AGREEMENT

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"Class" means all former non-exempt employees of Stay Safe Staffing, Inc. who were assigned to work for Defendant ESL Technologies, Inc. at its Roseville Facility during the Class Period. (Settlement Agreement, ¶¶1.5.)

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"Class Period" means the period from May 26, 2018, to June 30, 2022. (¶¶1.12.)

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There are 943 Class Members, and 941 Participating Class Members. (Islas Decl., ¶¶3,13.)

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“Aggrieved Employee(s)” means all members of the Class who were assigned to work for Defendant ESL Technologies, Inc. at its Roseville, California facility (“Roseville Facility”) during the PAGA Period. (¶1.4)

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“PAGA Period” means the period from May 26, 2021, through June 30, 2022. (¶1.30)

o There are 174 Aggrieved Employees who worked a total of 3,057 Pay Periods during the PAGA Period. (Islas Decl., ¶17.)

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Based on its records, Defendant estimates that, as of the date of this Settlement Agreement, that Class Members worked approximately 17,064 total Workweeks during the Class Period. If the number of actual Workweeks at the close of the Class Period is more than 112.5% of 17,064 (i.e., if the total Workweeks exceeds 19,197 Workweeks), the Gross Settlement Amount shall be increased proportionally by the number of workweeks in excess of 19,197. (¶18)

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The total number of Workweeks was 16,926, which does not exceed 19,197; thus, the Escalator Clause was not triggered. (Islas Decl., ¶14.)

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The Gross Settlement Amount (“GSA”) is \$416,600, non-reversionary. (¶13.1)

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The Net Settlement Amount (“Net”) (\$176,073.33) is the GSA minus the following:

o Up to \$138,866.67 (33 1/3%) for attorney fees (¶13.2.2);

o Up to \$20,000 for litigation costs (Ibid.);

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Up to

\$10,000 for a Service Payment to the Named Plaintiff (¶3.2.1);

o Up to \$30,000 for settlement

administration costs (¶3.2.3);

o Payment of \$31,245 (75% of \$41,660

PAGA penalty) to the LWDA. (¶3.2.5)

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Defendant

will also pay employer-side taxes. (¶3.1)

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Funding

of Settlement: Defendant shall fully fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than fourteen (14) calendar days after the Effective Date. (¶4.1)

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Disbursement

of GSA: Within fourteen (14) calendar days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (¶4.2)

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There

is no claim form requirement. (¶3.1)

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Uncashed Settlement Checks: The Administrator will issue checks for the Individual Class Payments and/or Individual PAGA Payments and send them to the Class Members via First Class U.S. Mail, postage prepaid, subject to the provisions for unknown SSNs described in Paragraph 4.2.1.

(¶4.2.2) The

Administrator will cancel all checks not cashed by the void date (180 days after the date of mailing). (¶¶4.2.1, 4.2.2)

For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure § 384(b). (¶4.2.4)

Counsel submitted the proposed Settlement

Agreement to the LWDA on December 15, 2025. (Leviant Decl. ISO Preliminary Approval, ¶¶42-43, Exhibit

2.) Counsel submitted the Amended Settlement

Agreement to the LWDA on March 16, 2026. (Leviant Supp. Decl. ISO Preliminary Approval, ¶37, Exhibit 4.)

Scope of the Release: Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶5)

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All

Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from any and all claims involving (a) any alleged failure to pay minimum wages (Lab. Code §§ 204, 1194, 1194.2, and 1197); (b) any alleged failure to pay overtime compensation (Lab. Code §§ 1194 and 1198); (c) any alleged failure to provide meal periods (Lab. Code §§ 226.7, 512); (d) any alleged failure to authorize and permit rest breaks (Lab. Code §§ 226.7); (e) any alleged failure to indemnify necessary business expenses (Lab. Code §2802); (f) any alleged failure to timely pay

final wages at termination (Lab. Code §§ 201-203); (g) any alleged failure to provide accurate itemized wage statements (Lab. Code § 226); and, (h) any alleged conduct constituting unfair business practices (Bus. & Prof. Code § 17200, et. seq.). Excluded from this portion of the release are claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the PAGA Notice. Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. (§5.1)

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The State of California ("State" or "LWDA"), and anyone purporting to act on its behalf, including Plaintiff, will release the Released Parties from all claims for civil penalties under PAGA, based on the facts and Labor Code sections that were alleged or reasonably could have been alleged in Plaintiff's PAGA Notice of violations and the Operative Complaint and based on conduct alleged to have occurred during the PAGA Period as to all Aggrieved Employees. (§5.2)

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"Plaintiff and Defendant are entering into a separate general release agreement to resolve claims asserted by Plaintiff wholly in her individual capacity that are not covered by the claims addressed or released by this Agreement. Plaintiff is receiving \$10,000 in consideration for that full general release, which is mentioned here only in the interest of fully transparency with this Court." (Settlement Agreement, p. 3, Fn. 1.)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does

a presumption of fairness exist?

The Court preliminarily found in its Order on March 20, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B. Is the settlement
fair, adequate, and reasonable?

The settlement was preliminarily found to be
fair, adequate and reasonable. Notice
has now been given to the Class and the LWDA.

Reaction of the class
members to the proposed settlement.

Number of class
members: 943 (Islas Decl., ¶13.)

Number of notice
packets mailed: 943 (Id. at ¶16.)

Number of
undeliverable notices: 42 (Id. at ¶18.)

Number of
opt-outs: 2 (Id. at ¶19.)

Number of
objections: 0 (Id. at ¶10.)

Number of
participating Settlement Class Members: 941 (Id. at ¶13.)

Average
individual Class payment: \$211.20 (Id. at
¶26.)

Highest
estimated Class payment: \$1,303.35 (Ibid.)

Lowest
estimated Class payment: \$11.47 (Ibid.)

Number of PAGA

Members: 174 (Id. at ¶17.)

Average PAGA
payment: \$59.86 (Ibid.)

Highest
estimated PAGA payment: \$170.35 (Ibid.)

Lowest
estimated PAGA payment: \$3.41 (Ibid.)

The Court finds that the notice was
given as directed and conforms to due process requirements. Given the reactions of the Class Members and
the LWDA to the proposed settlement and for the reasons set for in the Preliminary
Approval order, the settlement is found to be fair, adequate, and reasonable.

C.
Attorney
Fees and Costs

Class Counsel request \$138,866.67 (33%) in fees and litigation
costs and expenses in the amount of \$15,330.27 to Class Counsel. (Moon Decl.
ISO Final Approval, ¶¶64, 72.) The Settlement provides for attorney's fees up
to \$138,866.67 (33%) and costs of \$18,000 (Settlement
Agreement, ¶3.2.2.); the class was provided notice of the requested awards and
none objected. (Islas Decl., ¶10 and Exhibit A thereto.)

"Courts recognize two methods for
calculating attorney fees in civil class actions: the lodestar/multiplier
method and the percentage of recovery method."
(Wershba at 254.)

Here, class counsel requests attorney fees using the percentage method.
(Motion ISO Final, pgs. 16-21.)

The fee
request represents 33% of the GSA, which is the average
generally awarded in class actions. See *In re Consumer Privacy Cases* (2009) 175
Cal.App.4th 545, 558, fn. 13 ("Empirical studies show that, regardless whether
the percentage method or the lodestar method is used, fee awards in class
actions average around one-third of the recovery.").

Counsel have provided the following
lodestar information:

Biller

Hours

Rate

Total

Kane Moon

18.3

\$950.00

\$ 17,385.00

H. Scott

Leviant

24.5

\$975.00

\$ 23,887.50

Mariam

Ghazaryan

31.7

\$700.00

\$ 22,190.00

Jaeyoung Lee

17.2

\$600.00

\$ 10,320.00

Total

91.7

\$73,782.50

(Moon Decl. ISO Final Approval, ¶¶65.)

Therefore, Class Counsel has spent a total of 91.7 hours on this matter for a total loadstar of \$73,782.50, requiring a multiplier of 1.88 to reach the fee request. (Moon Decl. ISO Final Approval, ¶¶65, 68.c.)

As for costs, Class

Counsel is requesting \$15,330.27, which is less

than the settlement cap of \$20,000. (Moon Decl. ISO Final Approval, ¶72

and Exhibit 5 thereto.) Class counsel has incurred costs of \$15,330.27.(Ibid.) The

costs in this case include, but are not limited to, filing fees (\$1,481.72),

Case Anywhere costs, and mediation costs (\$9,000). (Ibid.) The costs seem reasonable and necessary to litigation. (Ibid.)

Based on the above, the recommendation

is to award \$138,866.67 (1/3) for

fees and \$15,330.27 for litigation

costs.

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D.

Incentive

Award to Class Representative

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Settlement Agreement provides for up to \$10,000 for a Service Payment to the Named Plaintiff. (Settlement Agreement, ¶3.2.1.)

Plaintiff Smith represents that her contributions to this litigation include, but are not limited to spending over 40 hours on the following: obtaining counsel, gathering documents, reviewing documents, answering counsel's questions, identifying witnesses, preparing for and assisting with mediation, and reviewing the settlement. (Declaration of Plaintiff Smith, ¶¶6-7, 15-20.)

The Court notes that such efforts are commendable, yet not expectational. Based on the above, the recommendation is to award an enhancement award in the amount of \$7,500.

E.
Claims
Administration Costs

The claims administrator requests \$12,000 for the costs of administering the settlement. (Islas Decl., ¶20.) This is less than the \$30,000 maximum amount disclosed in the notice to class members, to which there were no objections. (Islas Decl., ¶10 and Exhibit A thereto.)

Based on all the work performed by the Claims Administrator, the recommendation is to award costs in the requested amount of \$12,000.